

Case Study: UPI/Online Payment Fraud

What it is

UPI (Unified Payments Interface) fraud is a type of cybercrime where attackers trick victims into authorising fraudulent transactions through digital payment system. Unlike traditional fraud, UPI scams often require no hacking, the victim unknowingly approves the payment themselves.

How it typically happens

1. The attacker identifies a target, often someone who has posted a buy/sell listing on platform.
2. The attacker contacts the victim posing as a genuine buyer or seller.
3. They send a collect request or a fake "payment sent" screenshot to create confusion.
4. The victim is told to "accept" or "enter their UPI PIN" to receive money but entering a PIN on a collect request actually sends money, not receives it.
5. The transaction is completed instantly and the attacker disappears.

Who is usually targeted

Students, first-time digital payment users, elderly individuals, and small business owners are most commonly targeted due to limited awareness of how UPI collect requests work.

Consequences

Victims lose money instantly with little chance of recovery since UPI transactions are irreversible. Beyond financial loss, victims experience stress, loss of trust in digital platforms.

The core issue is not the technology, it is the gap between using digital payment tools and truly understanding how they work.

Real Published Incident

In January 2026, a Udupi-based engineer lost ₹6.35 lakh through multiple unauthorised UPI transactions. The victim noticed unusual debit alerts on his mobile phone and upon verification found that the money had been transferred without his consent. Investigators suspected the fraudsters had gained access through phishing links, SIM swapping, or malware installed on the victim's device. The case was handed over to the local cyber crime police station for further investigation.

Source: The420.in — *"Lakhs Fraudulently Transferred via UPI from Udupi Engineer's Bank Accounts; Police Launch Probe"*, January 23, 2026.

<https://the420.in/udupi-upi-fraud-engineer-635-lakh/>